



03 Overall Risk

What are the risks in the cash flows? In early stage investments, risks are very high. Some start ups might even shut down in one or two years. The growth potential is also extremely high. Higher is the risk perceived by the investors lower is the value of the company. Increased risk increases uncertainty and thus reduce value of the company.

If the perceived risk is too high, the investors would be typically pass the opportunity irrespective of the valuation.

